

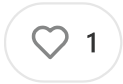
Business Analysis 32: MPS Ltd

Now the market is into its pessimism mode. I thought there's never a better time like this to study businesses and build portfolio. Today's business is MPS Ltd.



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The business is divided into 3 categories. **Research, Education and Corporate learning**. 63.3% revenue comes from research, 24.3% from education services and the rest 12.4% from corporate learning as per Q3FY26.

Their revenue comes in the form of **content solutions, platform solutions and e-learning solutions**. 53% revenue comes through content solutions, 28% from platform solutions and the rest 19% from e-learning solutions as of FY25.

Most of the business comes from North American market with a revenue share of 40% UK/Europe with 35%, and rest of the world with 17%. Globally they are a very renowned player. Their clients include National Geographic, Amazon, Apple, Oxford University, Pearson and many more big companies around the world.

The image shows the letters 'MPS' in a bold, red, sans-serif font. The letters are centered within a light blue rectangular background.

Source: TradingView

Let's dig deeper into these services are all about in detail.

Content solutions include content authoring, development, production, editorial, design, creative, rights and permission, accessibility transformation and digital enhancement.

Platform solutions include complete range of configurable platform solutions throughout the entire content lifecycle primarily delivered as SaaS. Products includ

Digicorepro, Insight Vizor, Impact Vizor, Sigma Scholaris Think 365, Right Hub and Magplus.

e-learning solutions include developing and delivering high impact and comprehensive learning and performance support solutions that provide a high engagement quotient and enhance learners' performance.

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So far this is all about the business. Let's understand the industry they are in. Globally, the TAM of MPS Ltd currently is about \$600+ bn.

Education services business is growing from \$470 bn to \$911 bn by 2030 at 14.3% CAGR. The segments include Pre K-12, adult learnings, higher education, professional development etc.

Research outsourcing industry is growing from \$11 bn to \$18 bn by 2030 at 9.80% CAGR. The segments are pre & post acceptance.

Corporate learning market is growing from \$357 bn to \$851 bn by 2030 at 19% CAGR. The segments are all corporate and govt institutions.

According to [WEF](#), 59% of the global workforce will require retraining by 2030. Global education expenditure is at 4-5% of GDP. There's an urgent need for upskilling and reskilling with 44% of workforce skills expected to change by 2027.

The immersive training market valued at \$16.4 bn in 2024 is growing at 28.3% CAC till 2030.

Going by the numbers, I hope one can imagine how massive and essential the business of MPS Ltd is. The management is projecting **1500 cr topline by FY28**. Strategies to achieve this vision include cross sell, upsell, acquisitions, new customer additions, deepening relationship with existing customers, and expanding platform offerings with new products.

Most of their earlier growth came from successful acquisitions. They acquire distressed assets and grow it bigger. I think the same will play out for their vision in the next few years.

The company has been giving dividends, doing buybacks over the past few years reflecting shareholder oriented business. **The company bought back its share at ₹6 in 2020 and ₹900 in 2022.**

Rahul Arora, now the Chairman and CEO of the company joined around 2012-13 was responsible for the company's turnaround. Similar things happened after the pandemic also. **Management is experienced. Business is producing huge cash. It's giving dividends, doing buybacks. Acquisitions are playing well. Recent acquisition of Unbound Medicine is also high margin, recurring revenue business. AI is increasing efficiency in the business. Market is massive. Globally well recognised company.** If stock is down more than 50%. Valuation also has come down a lot at a great level. If the company delivers what it envisions, then buying on a staggered basis from here could open up doors to a multibagger creation or wealth creation.

Amid all the excitement, there's concern about AI. But management claims it's an opportunity for them. Their moat lies on subject matter expertise, domain knowledge and technology.

If you follow their financials even going back to 2008, it's very volatile and cyclical. There is a certain period of increasing revenue and profits and then a prolonged period of decreasing or flat revenue and profits. Valuing on the basis of PE, PEG or EBITDA wouldn't be justified. One needs to consider the downside in their earnings as well. The company is confident of achieving 100 EPS in FY26. So that means we are basically getting the company at 15 PE. The management seems to be upbeat in FY26. Also they are tirelessly working on their 2027 vision. It doesn't seem to be the earnings slowing down in the medium term. So the less the valuation, the higher the chances of making bigger profits. We need to ask if the earnings will stay flat or decrease from here. If flat, then 15 PE is okay for a company giving 5% dividends yield and doing acquisitions with the cash. If decreases, then how much? During the pandemic, the company delivered 18% net profit margin but during 2009-10 they delivered negative net profit margin. Negative margins may not be practical at this juncture of the company because they have grown much bigger than 2009-10 period. Let's think about it in terms of some hypothetical situations. So, hypothetically even if it delivers cover-like margins and grows their topline modestly like 1000 or 1200 cr, we are still getting pretty good values from it. And in bull market scenario if they achieve what they have guided for in due time, then the stock is really cheap trading at 5 PE.

If stock price goes down further, that's a good opportunity to average down. So valuation will come down much more with good margin of safety. One more thing to add is that the management seems to keep their words in their earlier guidance.

Thanks for reading

Take care

Rabi

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